TSP Retirement Options

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1. The short version

When you leave federal service, your TSP balance does not have to go anywhere on day one. Broadly, you can:

1. **Keep it in the TSP.**
2. **Roll it to an IRA** (traditional or Roth, depending on the money and your choices).
3. **Roll it to another employer plan**, such as a new employer's 401(k), if that plan accepts rollovers.
4. **Take money out** through the TSP's own withdrawal options: single withdrawals, installments, a life annuity, or a mix.

You can also combine these. Some people leave part in the TSP, take installments, and roll a slice elsewhere. The right mix depends on your income needs, taxes, other benefits, and how hands-on you want to be. This guide walks through each choice and the questions to ask.

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2. Option 1: Keep it in the TSP

Leaving your money where it is, is a real option, not a failure to decide.

What to know - The TSP lets separated participants keep their accounts and choose withdrawals later (source: tsp.gov, Withdrawals in retirement). - You keep access to the TSP funds, including the **G Fund**, which is only available inside the TSP. - The TSP publishes its own administrative expenses. Compare them, in writing, with the all-in costs of any alternative. [COMPLIANCE REVIEW] - Once you separate, you can take money out on your schedule using the TSP's withdrawal options (see Option 4).

Trade-offs to weigh - The fund menu is focused. If you want investments the TSP does not offer, you may look elsewhere (the TSP also has a mutual fund window; read its fees and rules on tsp.gov). - You still have to take required minimum distributions (RMDs) from traditional money once you reach the IRS required age. If you do not take enough, the TSP will distribute the required amount automatically (source: 5 CFR Part 1650, Subpart B).

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3. Option 2: Roll it to an IRA

A rollover moves money from the TSP into an Individual Retirement Account you open with a financial institution.

How the money moves matters - **Direct rollover (trustee to trustee):** the TSP sends the money straight to the IRA. Under IRS rules, there is no mandatory withholding on a direct rollover. - **Paid to you first (60-day rollover):** if an eligible distribution from an employer plan is paid to you, the plan generally must withhold **20%** for federal income tax, even if you plan to roll it over. You generally have **60 days** to deposit it, and to roll over the full amount you would have to make up the withheld 20% from other money (source: IRS, Rollovers of retirement plan and IRA distributions).

Which money goes where (general rules) - Traditional TSP to a traditional IRA: generally not taxed at the time of a proper rollover. - Roth TSP to a Roth IRA: generally not taxed at the time of a proper rollover. Roth holding-period rules can differ between plans and IRAs, so ask how your Roth "clock" carries over. [COMPLIANCE REVIEW] - Traditional TSP to a Roth IRA: this is a **conversion**. The converted pre-tax amount is generally taxable income in the year you do it.

Trade-offs to weigh - **Wider choice, different costs.** An IRA can offer more investment options. Fees vary widely by provider, product, and advisor. Ask for every cost in writing. - **The age-55 rule may not follow the money.** If you separate from service in or after the year you turn 55 (50 for qualified public safety employees), withdrawals from the plan itself are generally exempt from the IRS 10% additional tax on early distributions. That exception is tied to the employer plan. Money rolled to an IRA generally follows IRA rules instead, where the general age is 59½ (sources: IRS Topic 558; TSP Fact Sheet TSPFS29). [COMPLIANCE REVIEW] - **The G Fund stays behind.** It is a TSP fund and is not available in an IRA. - **Protection from creditors** can differ between employer plans and IRAs and can depend on your state. Ask a qualified attorney if this matters to you. [COMPLIANCE REVIEW]

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4. Option 3: Roll it to another employer plan (such as a 401(k))

If you take a job with a plan that accepts incoming rollovers, you may be able to move your TSP there.

What to know - Ask the new plan's administrator whether it accepts rollovers, including Roth money, and how to request a direct rollover. - Compare the new plan's funds and fees with the TSP's. - Some employer plans have their own early-withdrawal and loan rules. Read the plan's summary plan description.

Trade-offs to weigh - One account can be simpler to track. - You are trading the TSP's menu and costs for the new plan's menu and costs, and its rules.

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5. Option 4: Take distributions from the TSP

After you separate, the TSP lists four ways to take money out (source: tsp.gov, Withdrawals in retirement):

Method	What it is	Worth knowing
Partial distribution	A single payment of an amount you choose	Must be at least $1,000. You can take one even while getting installments.
Total distribution	Your whole balance in one payment	Usually has the biggest tax impact in one year. An outstanding TSP loan must be repaid or closed first.
Installments	Automatic payments monthly, quarterly, or annually	A fixed dollar amount, or an amount computed from IRS life-expectancy tables. You can change them over time. They last only as long as there is a balance.
Life annuity	Use all or part of your balance to buy monthly income for life (or joint lives) through the TSP's outside annuity vendor	Once purchased, it cannot be changed or canceled. The TSP sets a minimum balance to buy one.

You can combine methods, and you can choose whether payments come from traditional money, Roth money, or both (sources: tsp.gov; 5 CFR Part 1650, Subpart B).

Trade-offs to weigh - Taking more out in one year can raise that year's tax bill. - Installments keep flexibility but the money can run out if withdrawals outpace the account. - An annuity trades flexibility for a lifetime payment stream, and the decision is permanent.

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6. Tax considerations, stated generally

These are general rules, not tax advice. Your result depends on your full tax picture. Check current IRS rules or a tax professional. [COMPLIANCE REVIEW]

- **Traditional TSP money** is generally taxed as ordinary income when it is paid to you.

- **Roth TSP money** can come out tax-free if the withdrawal is "qualified" (generally, a five-year holding period plus age 59½, disability, or death). Otherwise the earnings portion can be taxable.
- **20% withholding** generally applies to an eligible rollover distribution paid to you instead of rolled over directly. Withholding is a prepayment, not your final tax.
- **10% additional tax** can apply to taxable money taken before age 59½, with exceptions, including the separation-from-service exception at 55 (50 for qualified public safety employees) for plan money.
- **Required minimum distributions** apply to traditional money starting at the IRS required beginning age. That age changed under recent federal law and can depend on your birth year, so confirm it on irs.gov. [COMPLIANCE REVIEW]
- **State income tax** on retirement withdrawals varies by state.
- **Other income matters.** Your FERS or CSRS annuity, Social Security, and other income can affect how withdrawals are taxed. Look at them together.

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7. Questions to ask before anyone moves your money

Ask these of any advisor, agent, or firm, and get the answers in writing.

About them 1. Are you acting as a fiduciary for this specific recommendation, in writing? 2. How are you paid on this: fees, commissions, or both? How much, in dollars? 3. What licenses do you hold, and are you licensed in my state? (You can look up brokers on FINRA BrokerCheck, investment advisers on the SEC's Investment Adviser Public Disclosure site, and insurance agents with your state insurance department.)

About the recommendation 4. What would I pay all-in per year, compared with keeping my money in the TSP? 5. What do I give up by leaving the TSP, such as the G Fund or the age-55 exception? 6. Will this be a **direct** rollover so no 20% is withheld? 7. How will my traditional and Roth money each be handled, and is any part a taxable conversion? 8. If you are recommending an annuity or insurance product: what are the surrender charges, how long do they last, and what happens if I need the money early? 9. How does this fit with my FERS or CSRS annuity, Social Security, survivor benefits, and health coverage in retirement? 10. What happens if I change my mind in a year?

About yourself - What do I need this money to do: monthly income, a cushion, an inheritance, or all three? - How involved do I want to be in managing it? - Who is on my beneficiary forms, and are they current?

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8. A simple checklist

- [ ] Log in to your TSP account and note your traditional and Roth balances and any loan.
- [ ] Check your beneficiary designation.

- [ ] Read the TSP's withdrawal pages and the "Tax Rules about TSP Payments" booklet on tsp.gov.
- [ ] Write down your income needs for the first few years of retirement.
- [ ] If you are considering a rollover, get all-in costs and the reason for the move in writing.
- [ ] Talk with a tax professional before any large withdrawal or Roth conversion.
- [ ] Do not let anyone rush you. A good decision can wait a week.

Sources (official, public)

- The Thrift Savings Plan, *Withdrawals in retirement*: https://www.tsp.gov/withdrawals-in-retirement/
- The Thrift Savings Plan, *Information for TSP Participants Leaving Federal Employment* (TSPFS29): https://www.tsp.gov/publications/tspfs29.pdf
- 5 CFR Part 1650, Subpart B, *Post-Employment Withdrawals*: https://www.ecfr.gov/current/title-5/chapter-VI/part-1650/subpart-B
- IRS, *Rollovers of retirement plan and IRA distributions*: https://www.irs.gov/retirement-plans/plan-participant-employee/rollovers-of-retirement-plan-and-ira-distributions
- IRS, *Topic no. 558, Additional tax on early distributions from retirement plans other than IRAs*: https://www.irs.gov/taxtopics/tc558

Facts above were checked against these pages on Oct 11, 2026. Plan rules, limits, and tax law change. Confirm current rules before you act. [COMPLIANCE REVIEW]

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